

We Believe the Board and Compensation Committee Has Consistently Engaged In Problematic Compensation Practices

The Board and Compensation Committee have engaged in troubling compensation practices that have failed to hold management accountable for underperformance and missed promises to investors.

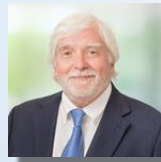
Compensation Committee⁽¹⁾



Mr. Archibald
(2005 – 2022)



Mr. Ferrari
Since 2018



Mr. Reaud
(2005 – 2022)

Other Board Members



Dr. Beckerle
Since 2011

NOT INDEPENDENT



Ms. Egan
Since 2020



Ms. Tighe
Since 2019



Ms. Dulá
Since 2020



Mr. Burns
(2010 – 2022)



Sir Margetts
(2010 – 2022)



Ms. McGovern
Since 2021

Problematic Compensation Practices

Selected inappropriate Proxy Peers to benchmark executive compensation

Poor compensation practices in determining CEO base salary

Failed to hold management accountable for failed investor day promises

Revised Adj. EBITDA compensation targets downward in the middle of 2020

Skewed annual bonus payout structure that disproportionately rewards slight outperformance

Questionable Performance Peer selection practices

Concerning corporate perquisites

 **Nominees Starboard Is Seeking to Replace at the Company's 2022 Annual Meeting**

We believe the Board's compensation practices must be significantly improved in order to drive accountability.

Proxy Advisors Have Highlighted the Company's Poor Pay-for-Performance Relative to Proxy Peers

Both Institutional Shareholder Services Inc. (“ISS”) and Glass, Lewis & Co. (“Glass Lewis”), the two most influential shareholder advisory firms, have noted that the Board has granted the CEO top quartile pay despite bottom quartile performance relative to Proxy Peers.

Excerpt from 2021 ISS Report

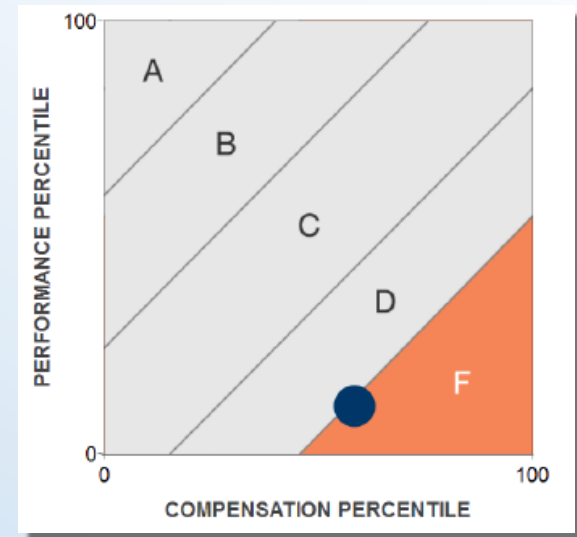
FINANCIAL PERFORMANCE ASSESSMENT

Blue boxes indicate the company's quartile rankings compared to ISS' selected peer group in the applicable measure/metric, measured over three years. The leftmost box indicates bottom quartile and rightmost box indicates top quartile.

Measure		Quartile Ranking vs. Peers				
Pay						
Weighted Performance						
Metrics	Long-Term Performance	Quartile Ranking vs. Peers				
EVA Margin	-2.22					
EVA Spread	-2.34					
EVA Momentum (Sales)	-1.43					
EVA Momentum	-1.54					

ISS has highlighted to shareholders that over a three-year period, bottom quartile performance has been rewarded with top quartile pay

Excerpt from 2021 Glass Lewis Report



Huntsman has received an “F” from Glass Lewis on executive compensation for two consecutive years as pay was more than its Proxy Peers, notwithstanding poor relative performance

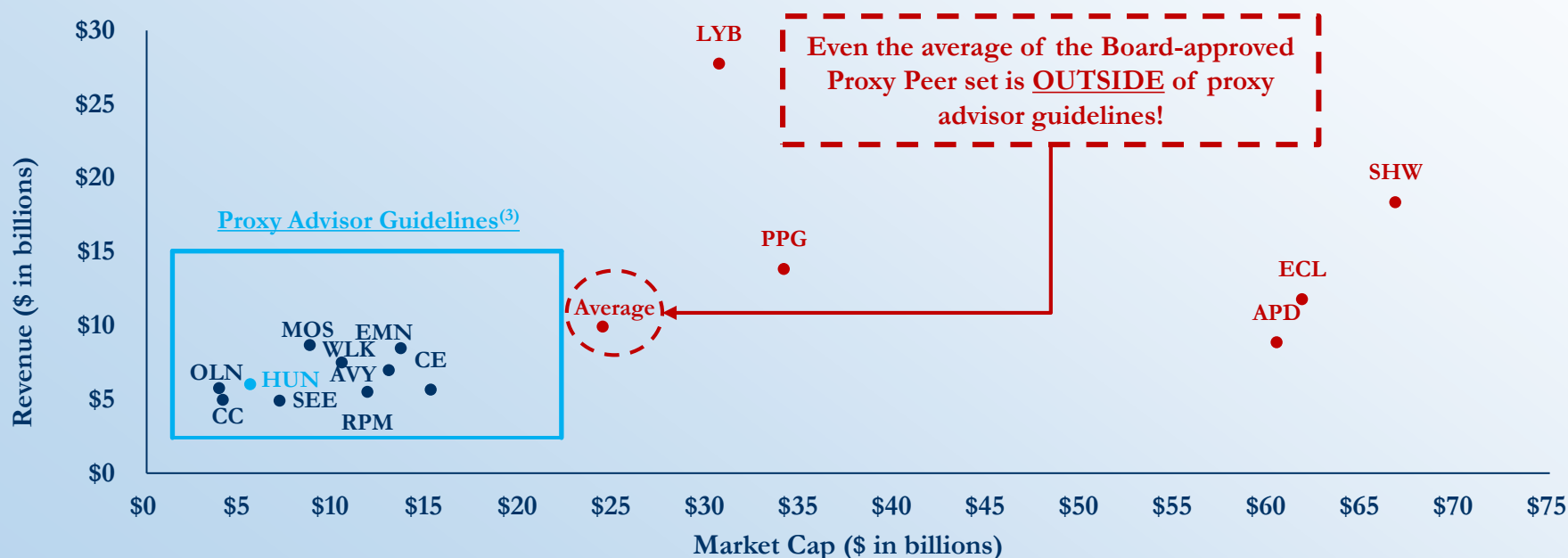
Huntsman compensates its executives significantly more than its Proxy Peers, even though performance has been significantly worse.

We Believe the Board Approved Proxy Peers For Compensation Benchmarking That Are AGAINST Leading Governance Practices

The Board-approved Proxy Peers used to determine executive compensation seem poorly-selected based on leading proxy advisor guidelines.

- Leading proxy advisors have generally recommended the following for determining whether a company's Proxy Peers are appropriate:
 - **Market Cap:** Peer market capitalization no greater than 4.00x and no less than 0.25x when compared to the company.
 - **Revenue:** Peer revenue no greater than 2.50x and no less than 0.40x when compared to the company.

Huntsman and Proxy Peers – Market Capitalization vs. Revenue⁽¹⁾⁽²⁾

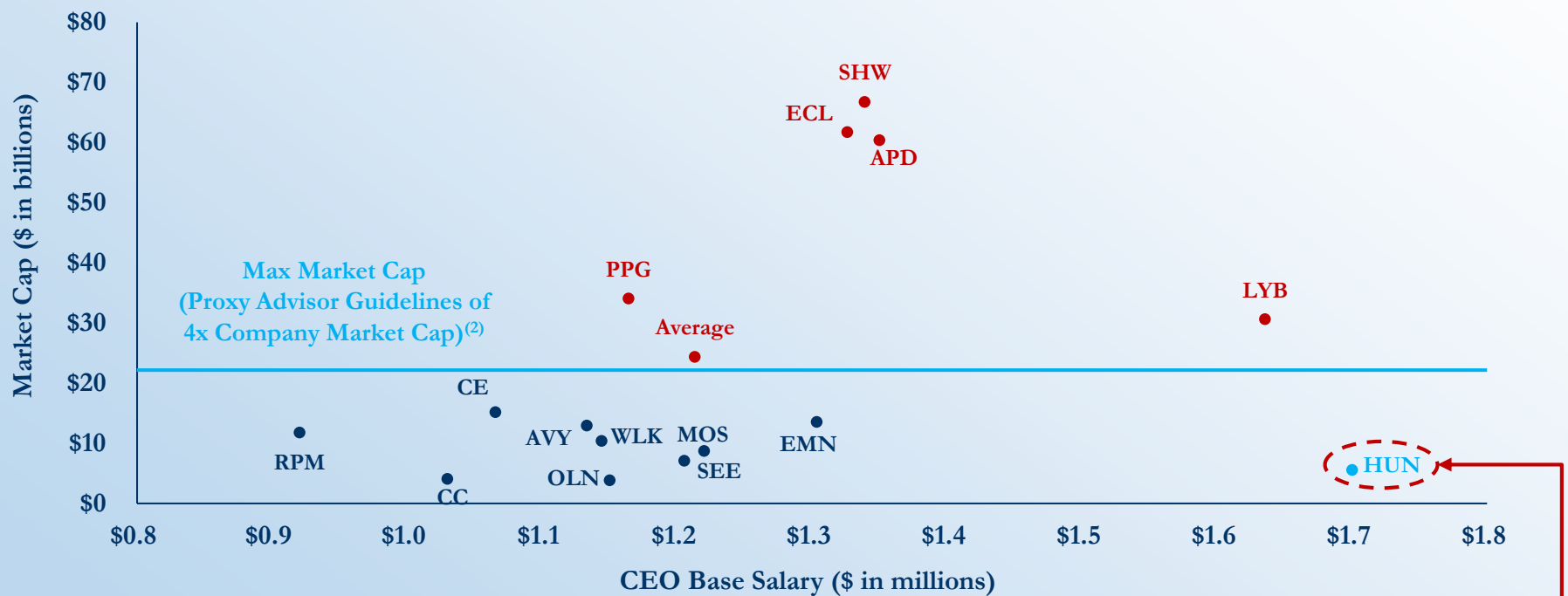


We believe the Board and Compensation Committee have selected an inappropriate Proxy Peer set for benchmarking executive compensation.

Not Only Are the Proxy Peers Inappropriate, But Huntsman Has the Highest CEO Base Salary

Huntsman's base salary for its CEO is the highest among Proxy Peers despite the Company being considerably smaller than nearly all of the Proxy Peers.

2020 Market Capitalization vs. CEO Base Salary⁽¹⁾



Huntsman has the HIGHEST CEO base salary despite being one of the SMALLEST companies in the Proxy Peer set and failing to achieve its 2014, 2016, and 2018 Investor Day commitments

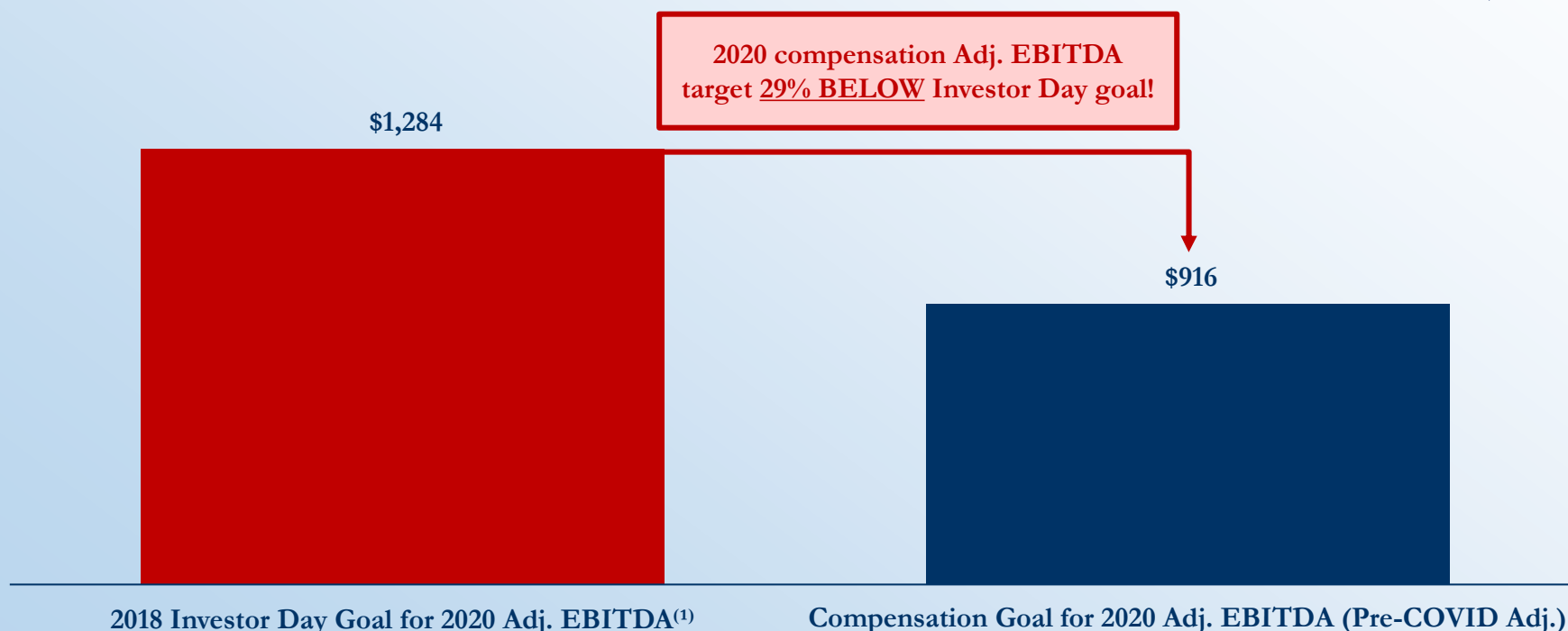
The Board and Compensation Committee have engaged in problematic compensation practices.

Compensation Targets Used to Determine Management's Annual Cash Bonus Were Set Significantly Below Investor Day Commitments

2020 Adjusted EBITDA compensation targets, used to determine management's annual cash bonuses, were set significantly below the Company's 2018 Investor Day goals, which we believe perpetuated a lack of management accountability for delivering on shareholder commitments.

2018 Investor Day Adjusted EBITDA Target Versus Annual Cash Bonus Target

(\$ in millions)



The Board failed to hold management accountable.

Source: Public company filings. (1) 2020 target calculated by taking 2017 Adjusted EBITDA pro forma for the sale of Chemical Intermediates (i.e. \$1,040 million) then adjusting for the impact of one-time events as disclosed on pg. 18 of the Company's 2018 Investor Day presentation, which results in pro forma 2017 Adjusted EBITDA of \$965 million. We then apply a 10% growth rate over three years, consistent with management targets in the Company's 2018 Investor Day presentation.

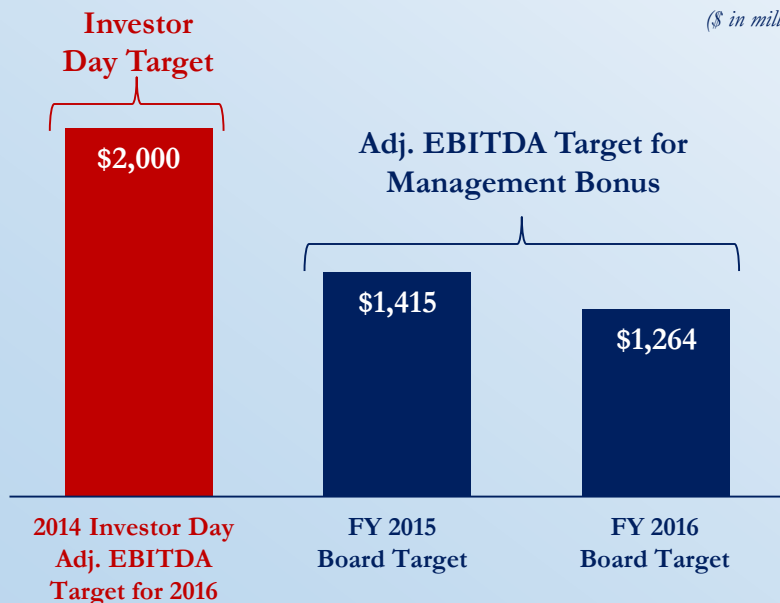
The Board Has a History of Setting Management's Compensation Targets BELOW Goals Communicated to Shareholders

The Board has consistently set management's compensation targets meaningfully below goals communicated to shareholders, which we believe severely reduces management accountability.

Investor Day Adjusted EBITDA Targets Versus Annual Cash Bonus Targets

2014 Investor Day Target

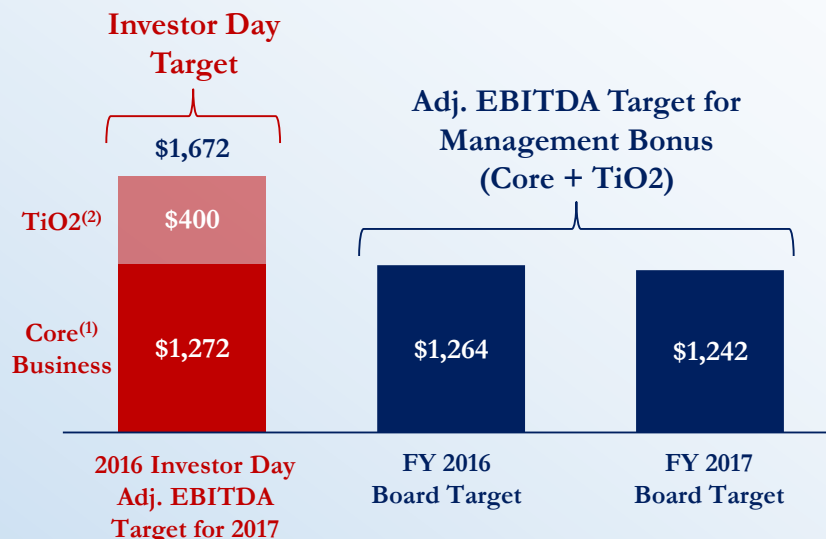
(\$ in millions)



Compensation goals DECLINING and BELOW Investor Day Target

2016 Investor Day Target

(\$ in millions)



Compensation goals DECLINING and BELOW Investor Day Target

The Board has a history of failing to hold management accountable for commitments to investors.

As an Example, We Believe the Board's 2015 Adjusted EBITDA Bonus Target Was Incredibly Disingenuous

We believe there was a highly concerning inconsistency between how the Board set management's 2015 Adjusted EBITDA compensation targets and management's public comments to shareholders.

Comments to Shareholders in Late-2014 / Early-2015

"Our LTM is about \$1.4 billion. We have an objective to go to \$2 billion of EBITDA. Many of our businesses are sort of at that level... But really, on track we think near term to get to that \$2 billion of EBITDA."

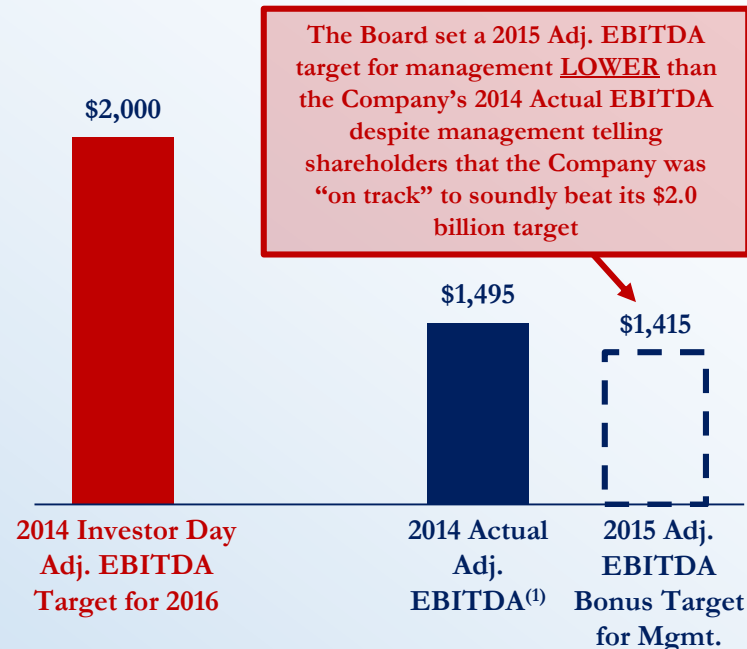
*Kimo Esplin, CFO
December 2014*

"I would say that we should quite soundly beat the projections that we gave for the \$2 billion. Again, we still have a great deal of confidence in the \$2 billion number... I think that when we look at the overall composite, we still feel very confident about that."

*Peter Huntsman, President & CEO
February 2015*

In late-2014 / early-2015, management expressed a strong outlook for the Company's Adjusted EBITDA

Highly Questionable 2015 Annual Bonus Target

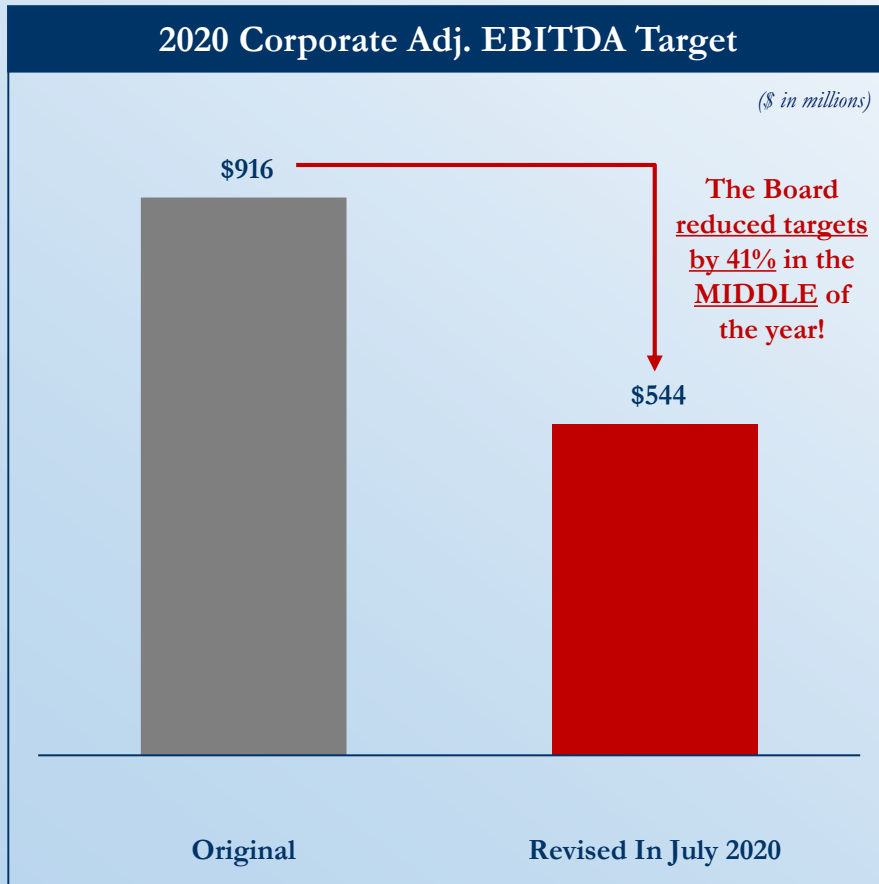


Yet, the Board set Adjusted EBITDA targets for 2015 below 2014's actual results

We believe the Board's 2015 compensation target for management is part of a broader, more concerning trend.

Further, the Huntsman Board Was the Only One Among Proxy Peers To Reduce Annual Cash Bonus Targets in 2020

Not only did the Board choose to reduce management's Adjusted EBITDA target by 41%, but Huntsman was also the only company among Proxy Peers to make such a reduction.



No Proxy Peers Reduced Compensation Targets	
	Maintained Annual Bonus Targets During COVID?
APD ⁽¹⁾	✓
AVY	✓
CC	✓
CE ⁽²⁾	✓
ECL ⁽³⁾	✓
EMN	✓
LYB	✓
MOS	✓
OLN	✓
PPG ⁽⁴⁾	✓
RPM ⁽⁵⁾	✓
SEE	✓
SHW	✓
WLK	✓
HUN	✗

In contrast to its Proxy Peers, Huntsman not only revised full year 2020 short-term compensation targets, but did so after more than half the year had been completed.

Source: Public company filings. (1) Included a material COVID-related adjustment to EPS actuals when determining performance against compensation operating targets in FY20 (fiscal year ended 9/30). (2) Targets were not revised, but payout percentage was increased after considering strategic priorities and objectives in light of the pandemic. (3) Disclosed that in February 2020, the Board intended to revise targets following the close of its ChampionX acquisition. ChampionX closed in June 2020, at which point targets were reset to account for the inclusion of ChampionX in the Company's results. (4) Targets approved in April 2020. (5) Fiscal year ended May 30, 2021.